IN THE NATIONAL COMPANY LAW TRIBUNAL: NEW DELHI
SPECIAL BENCH

ITEM No. 140
(CAA)-141(PB)/2018

IN THE MATTER OF:
Times Content Pvt. Ltd. ... Petitioners/Applicant
And
Times Internet Pvt. Ltd. ... Respondents

SECTION: Under Section 230-232

Order delivered on 03.06.2019

Coram:
CHIEF JUSTICE (RTD.) M. M. KUMAR
HON'BLE PRESIDENT

SH. S. K. MOHAPATRA
HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant: Mr. Abhishek Seth, Advocate

ORDER

CA - 1066(PB)/2019

Application allowed as prayed for. Corrected order be issued.

Sd/-

(M. M. KUMAR)
PRESIDENT

Sd/-

(S. K. MOHAPATRA)
MEMBER (TECHNICAL)

03.06.2019
Deepak

THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH,

AT NEW DELHI

COMPANY PETITION NO. CAA-141 (PB)/ 2018

Under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of

Scheme of Amalgamation of

Times Content Limited — Transferor Company

WITH

Times Internet Limited — Transferee Company

Judgment delivered on: 21.05.2019

Corrected On: 03.06.2019

CORAM:

CHIEF JUSTICE (RTD.) M.M. KUMAR, HON'BLE PRESIDENT

Mr. S. K. MOHAPATRA, HON'BLE MEMBER (T)

Present:

For Petitioners: Mr. Abhishek Seth, Advocate

For ITD : Ms. Lakshmi Gurung, Standing Counsel

For RD : Mr. C. Balooni, Company Prosecutor,

For OL : Ms. Swati Koushal, Advocate

ORDER

S. K. Mohapatra, Member

1. This Joint application has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of the Transferor Company into the Transferee Company. The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme") has been placed on record.

2. The "Transferor Company", M/s Times Content Limited was incorporated on 06.08.2015 under the provisions of companies Act 2013, having its registered office situated at Express Building, 9-10 Bahadurshah Zafar Marg, New Delhi – 110002.

3. The "Transferee Company", M/s Times Internet Limited was incorporated on 04.05.1999 under the companies Act, 1956, having its registered office situated at Express

Building, 9-10 Bahadurshah Zafar Marg, New Delhi – 110002.

4. A perusal of the petition discloses that initially the First Motion application seeking dispensation from convening the meetings of Shareholders and Creditors of the petitioner companies was filed before this Bench vide CA (CAA) No. 141 (PB)/ 2018 and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, the meetings of Equity shareholders, Secured Creditors and Unsecured Creditors of all the Petitioner Companies were dispensed with, vide order dated 14.09.2018 passed by this Bench.

5. Subsequently, on 09.10.2018 the Petitioners were directed to carry out publication in the newspapers 'Business Standard' English Delhi edition as well as in 'Jansatta' Hindi Delhi edition. In addition to the public notice, notices were directed to be served on the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

6. It is seen from the records that the Petitioners have filed an affidavit dated 13.11.2018 affirming compliance of the order passed by the Tribunal dated 09.10.2018. A perusal of the affidavit discloses that the petitioners have affected the newspaper publication as directed in one issue of the 'Business Standard' English edition on 24.10.2018 as well as in 'Jansatta' Hindi edition again on 24.10.2018 in relation to the date of hearing of the petition.

7. Additionally, it is also confirmed in the same affidavit that copies of petition have been duly served on the Registrar of Companies, Regional Director, Northern Region, Official Liquidator and Income Tax Department in compliance of the order and in proof of the same acknowledgement made by the respective offices have also been placed on record.

8. The Regional Director has filed its representation dated 20.11.2018 in which no objection against the Scheme has been raised by the Regional Director/ Registrar of Companies. It is stated in the report that both the petitioner companies have filed their updated annual returns and balance sheet up to the year ending 31.03.2017 and there is

no prosecution or technical scrutiny has been initiated/pending against the petitioner companies.

9. It is further submitted by the Regional Director that in reference to Clause 13.1 of the Scheme the transferee company should comply with the provisions of Section 232 (3) (B) (i) read with Section 233 (11) of the Companies Act, 2013.

10. In response to the aforesaid observation the transferee company has filed an undertaking vide affidavit dated 22.11.2018 affirming that the transferee company will comply with the provisions of Section 232 (3) (B) (i) read with Section 233 (11) of the Companies Act, 2013. The observation raised by the Regional Director thus stands satisfied.

11. The Official Liquidator has filed its report dated 20.11.2018 wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the official liquidator has not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of the transferor company do not appear to have been conducted

in a manner prejudicial to the interest of its members or to public interest.

12. The Department of Income Tax has also filed its report in respect of both the petitioner companies dated 14.02.2019 wherein an objection has been raised by the department that the amalgamation should not affect the recovery proceeding against the transferor company as there is a scrutiny pending in respect of transferor company.

13. It is seen from the records that the authorized representative of transferee company has filed an affidavit dated 10.02.2019, in which the transferee company undertook that after sanctioning of the Scheme if any amount is payable by transferor company after conclusion of scrutiny proceedings and assessment proceedings, the same shall be paid by transferee company.

14. Be that as it may, in order to protect the interest of the Revenue it is clarified that there shall be no limitation on the power of the Income tax Department for recovery of pending Income Tax dues, including imposition of penalties etc. as provided in law.

15. In the joint petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies. It is stated that the appointed date as provided in the Scheme shall be April 1st, 2018.

16. Certificates of respective Statutory auditors of all the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

17. The shareholders of the applicant companies are the best Judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme of which sanction is sought under Section 230-232 of the Companies Act of 2013 will not

ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

18. In the case of Hindustan Lever Employees Union Vs. Hindustan Lever Limited (1995) 5 SCC 491 the three Judges Bench of Hon'ble Supreme Court held that:

> *'A company court does not exercise appellate jurisdiction over a scheme and its jurisdiction is limited to ascertaining fairness, justness and reasonableness of the Scheme and to ensure that neither any law has been violated or public interest compromised in the process.'*

19. Right to apply for the sanction of the Scheme has been statutorily provided under Section 230-234 of the Companies Act, 2013 and therefore, it is open to the applicant companies to avail the benefits extended by statutory provisions and the Rules.

20. It has also been affirmed in the petition that the Scheme is in the interest of the transferor company and the transferee company including their shareholders, creditors, employees and all concerned.

21. In view of the foregoing, upon considering the approval accorded by the members and creditors of all the Petitioner companies to the proposed Scheme, and the affidavits filed by the Regional Director, Northern Region, Ministry of Corporate Affairs and the report of official liquidator; there appears to be no impediment in sanctioning the present Scheme.

22. *Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.*

23. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

24. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

25. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with

law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

26. **THIS TRIBUNAL DO FURTHER ORDER**

i. *That the Transferor Company shall stand dissolved without following the process of winding-up; and*

ii. *That all the property, rights and powers of the Transferor Company, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company.*

iii. *That all the liabilities and duties of the Transferor Company, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and*

iv. *That all proceedings now pending by or against the Transferor Company, be continued by or against the transferee company; and*

v. *That all the employees of the Transferor Company in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the Transferor Company on the said date.*

vi. *That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the transferee company and*

the files relating to both the petitioner companies shall be consolidated accordingly; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-

(M.M. KUMAR)

PRESIDENT

Sd/-

(S.K. MOHAPATRA)

MEMBER (T)

SHAMMY